Transcription Job: Libertarianism and Wealth Redistribution: Is Taxing the Rich Unjust?
Client: Eagle Web
Transcribed by: David Akimara
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Male_1:
[00:00:00.000 --> 00:00:44.370]
If you think about it, says the libertarian, it's a kind of coercion. What it amounts to is theft by the state or by the majority, if we're talking about a democracy, from people who happen to do very well and earn a lot of money. Nozick and other libertarians allow a minimal state that taxes people for what everybody needs**:** national defence, a police force, and a judicial system to enforce contracts and property rights, but that's it.

Male_1:
[00:00:44.370 --> 00:01:11.750]
Now, I want to get your reactions to this third feature of the libertarian view. I want to see who among you agree with that idea and who disagree and why. But just to make it concrete and to see what's at stake, consider the distribution of wealth in the United States.

Male_1:
[00:01:11.750 --> 00:01:28.110]
United States is among the most inegalitarian societies as far as the distribution of wealth of all the advanced democracies. Now, is this just or unjust? Well, what does the libertarian say?

Male_1:
[00:01:28.110 --> 00:01:48.890]
The libertarian says, you can't know just from the facts I've just given you. You can't know whether that distribution is just or unjust. You can't know just by looking at a pattern or a distribution or a result whether it's just or unjust.

Male_1:
[00:01:48.890 --> 00:02:00.940]
You have to know how it came to be. You can't just look at the end state or the result. You have to look at two principles

Male_1:
[00:02:00.940 --> 00:02:20.800]
The first he calls justice in acquisition or in initial holdings. And what that means simply is, did people get the things they used to make their money fairly? So we need to know, was there justice in the initial holdings?

Male_1:
[00:02:20.800 --> 00:02:42.800]
Did they steal the land or the factory or the goods that enabled them to make all that money? If not, if they were entitled to whatever it was that enabled them to gather the wealth, the first principle is met. The second principle is, did the distribution arise from the operation of free consent?

Male_1:
[00:02:42.800 --> 00:03:17.140]
People buying and trading on the market. As you can see, the libertarian idea of justice corresponds to a free market conception of justice. Provided people got what they used fairly, didn't steal it, and provided the distribution results from the free choice of individuals buying and selling things, the distribution is just.

Male_1:
[00:03:17.140 --> 00:03:32.700]
And if not, it's unjust. So let's, in order to fix ideas for this discussion, take an actual example. Who's the wealthiest person in the United States?

Male_1:
[00:03:32.700 --> 00:03:44.520]
Wealthiest person in the world? Bill Gates, it is, that's right. Here he is.

Male_1:
[00:03:44.520 --> 00:03:52.880]
You'd be happy too. Now, what's his net worth? Anybody have any idea?

Male_1:
[00:03:52.880 --> 00:04:10.120]
That's a big number. During the Clinton years, remember there was a controversy: donors, big campaign contributors, were invited to stay overnight in the Lincoln Bedroom at the White House. I think if you contributed $25,000 or more.

Male_1:
[00:04:10.120 --> 00:04:46.030]
Someone figured out that the median contribution that got you invited to stay a night in the Lincoln Bedroom: Bill Gates could afford to stay in the Lincoln Bedroom every night for the next 66,000 years. Somebody else figured out how much he gets paid on an hourly basis? And so they figured out, since he began Microsoft, suppose he worked, what, 14 hours per day?

Male_1:
[00:04:46.030 --> 00:05:10.530]
Reasonable guess. And you calculate this net wealth. It turns out that his rate of pay is over $150- not per hour, not per minute, $150, more than $150 per second.

Male_1:
[00:05:10.530 --> 00:05:52.650]
Which means, which means that if, on his way to the office, Gates noticed a $100 bill on the street, it wouldn't be worth his time to stop and pick it up. Now, most of you will say, someone that wealthy, surely we can tax them to meet the pressing needs of people who lack an education, or lack enough to eat, or lack decent housing. They need it more than he does.

Male_1:
[00:05:52.650 --> 00:06:02.990]
And if you were a utilitarian, what would you do? What tax policy would you have? You'd redistribute in a flash, wouldn't you?

Male_1:
[00:06:02.990 --> 00:06:33:210]
Because you would know, being a good utilitarian, that taking some, a small amount, he's scarcely going to notice it, but it will make a huge improvement in the lives and in the lives of people. And it will make a huge difference in the welfare of those at the bottom. But remember, the libertarian theory says, we can't just add up and aggregate preferences and satisfactions that way.

Male_1:
[00:06:33:210 --> 00:06:53.330]
We have to respect persons. And if he earned that money fairly, without violating anybody else's rights, in accordance with the two principles of justice in acquisition and justice in transfer, then it would be wrong. It would be a form of coercion to take it away.

Male_1:
[00:06:53.330 --> 00:07:04.950]
Michael Jordan is not as wealthy as Bill Gates, but he did pretty well for himself. You want to see Michael Jordan? There he is.

Male_1:
[00:07:04.950 --> 00:07:37.370]
His income alone, in one year, was $31 million, and then he made another $47 million in endorsements for Nike and other companies. So his income was, in one year, $78 million. To require him to pay, let's say, a third of his earnings to the government to support good causes, like food and health care and housing and education for the poor, that's coercion.

Male_1:
[00:07:37. 370 --> 00:07:48.750]
That's unjust. That violates his rights. And that's why redistribution is wrong.

Male_1:
[00:07:48.750 --> 00:08:06.780]
Now, how many agree with that argument? Agree with the libertarian argument that redistribution for the sake of trying to help the poor is wrong? And how many disagree with that argument?

Male_1:
[00:08:06.780 --> 00:08:21.420]
All right, let's begin with those who disagree. What's wrong with the libertarian case against redistribution?

Male_2:
[00:08:21.420 --> 00:08:44.560]
Yes. I think these people, like Michael Jordan, have received- we're talking about working within a society- and they received a larger gift from the society, and they have a larger obligation in return to give that through redistribution. You can say that Michael Jordan may work just as hard as someone who works doing laundry 12 hours, 14 hours a day, but he's receiving more.

Male_2:
[00:08:44.560 --> 00:08:54.660]
I don't think it's fair to say that it's all on his inherent hard work.

Male_1:
[00:08:54.660 --> 00:09:03.220]
All right, let's hear from defenders of libertarianism. Why would it be wrong in principle to tax the rich to help the poor? Go ahead.

Male_3:
[00:09:03.220 --> 00:09:10.280]
My name's Joe, and I collect skateboards. I've since bought 100 skateboards. I live in a society of 100 people.

Male_3:
[00:09:10.280 --> 00:09:17.700]
I'm the only one with skateboards. Suddenly, everyone decides they want a skateboard. They come into my house, they take 99 of my skateboards.

Male_3:
[00:09:17.700 --> 00:09:39.800]
I think that is unjust. Now, I think in certain circumstances, it becomes necessary to overlook that injustice, perhaps condone that injustice, as in the case of the cabin boy being killed for food. If people are on the verge of dying, perhaps it is necessary to overlook that injustice, but I think it's important to keep in mind that we're still committing injustice by taking people's belongings or assets.

Male_1:
[00:09:39.800 --> 00:09:53.140]
Are you saying that taxing Michael Jordan, say at a 33% tax rate, for good causes to feed the hungry is theft?

Male_3:
[00:09:53.140 --> 00:09:59:180]
I think it's unjust. Yes, I do believe it's theft, but perhaps it is necessary to condone that theft.

Male_1:
[00:09:59:180 --> 00:10:00.400]
But it's theft.

Male_3:
[00:10:00.400 --> 00:10:00.860]
Yes.

[END OF RECORDING --> 00:10:00.860]